

Sun Pharmaceutical Industries

NSE: SUNPHARMA | Healthcare — Pharmaceuticals | 7 September 2026

REDUCE Fair value: ₹1,503 | CMP: ₹1,899 (04-Sep-2026) | Downside: -20.8% (total return -20.0%)

Fair value is stated in today's money — a FY2028 value discounted 1.56 years. On the twelve-month-forward convention the Street uses, the same three methods give ₹1,815 and a 4.4% downside. Both are REDUCE. The convention accounts for sixteen percentage points and is explained in the valuation section. Everything is struck at the 4 September close of ₹1,899, the last print before publication.

This Is Not the Company It Was in April

On 27 April 2026 Sun Pharma agreed to acquire Organon & Co. for US\$11.75 billion in enterprise value, all cash at \$14.00 a share. Organon shareholders approved on 23 July. Sun syndicated more than US\$10 billion of debt across eleven banks on 30 June. The transaction closes in early calendar 2027 — inside FY2027, the first year of any sensible forecast. US antitrust is already behind it: the Hart-Scott-Rodino waiting period expired on 22 June 2026, and management says regulatory filings across other markets are complete with approvals received in several. The principal antitrust hurdle is therefore cleared, which is why we value the combined entity outright rather than probability-weighting the two — though approvals in some markets remain outstanding. We model completion as certain; were the deal to break, standalone FY2028 earnings at 34 times are ₹1,940, or ₹1,607 discounted to today — which is still below the price.

The consequence is that a standalone valuation of Sun Pharma is now a valuation of a company that will not exist. Today Sun carries roughly ₹20,096 crore of net cash: investments of ₹24,723 crore against borrowings of ₹4,627 crore. On completion it carries roughly ₹88,500 crore of acquisition debt — 2.4 times our FY2028 combined EBITDA gross, or 2.3 times net of the treasury book that survives, which is the company's own guide. Those are the same leverage on two definitions, not a disagreement. We label each use below as gross or net rather than pretending to a single figure. Any model that adds Sun's net cash to equity value, or any screen that calls the company almost debt-free, is describing the past. This note values the combined entity.

Organon is a US\$6.2 billion revenue, US\$1.9 billion adjusted EBITDA business at a 30.6% margin. It is also not growing: revenue fell 3% in 2025 and the company guides flat for 2026. Sun is paying 6.2 times EBITDA for it — a low multiple precisely because the asset does not grow. Sun's own shares trade on 23.9 times.

The Deal Is Accretive. That Is Not the Same as Value-Creative.

Buy US\$1.9 billion of EBITDA at 6.2 times, fund it with debt at roughly 6.5%, and accretion follows by construction: the asset yields more than the money costs. Our pro-forma has FY2028 earnings per share of ₹73.55 against ₹57.07 standalone — up 29%, after linking other income to the treasury book that survives the deal and adding half the guided synergies. On the first full combined year the shares trade on 25.8 times pro-forma earnings rather than 33.3 times standalone. That is the bull case, and it is arithmetic rather than opinion. Every documented broker is buying the stock with the deal in front of them, which implies they are underwriting it.

Now put the two halves together. Standalone FY2028 earnings of ₹57.07 at the 34 times a debt-free Indian pharma leader commands is ₹1,940. Pro-forma earnings of ₹73.55 at the 26 times we think a levered consolidator of a declining asset deserves is ₹1,912. Twenty-nine per cent more earnings, at a materially lower deserved multiple, and the two very nearly cancel — ₹1,912 against ₹1,940, which is 1.4% and well inside the noise of either assumption.

So the deal changes what Sun Pharma is — top-25 global, a top-10 biosimilars player, US\$12.4 billion of combined revenue, levered at 2.4 times gross, 2.3 times net on the company's guide — without, on our numbers, materially

changing what it is worth. The question this note actually turns on is not whether the acquisition is a good one. It is whether the price was already full before it.

Q1 FY2027 — Read the Adjusted Line

Revenue rose 10.1% on the company's basis to ₹1,51,836 million. Reported net profit rose 27.0% on the company's own release, 26.5% on Screener's slightly different base. Both figures were widely reported and both flatter the quarter.

On the company's own adjusted basis, net profit grew 3.1% and EBITDA 2.7%, with the EBITDA margin at 28.9% against 31.1% — a contraction of 220 basis points on the company's numbers. The gap between +27% reported and +3.1% adjusted sits below the operating line, in other income and in a much lower exceptional charge than the year-ago quarter. An earlier version of this note attributed the whole gap to an ₹874 crore swing in other income; that figure is Screener's other-income line net of exceptional items, not the company's, and the note also quoted a 155 basis point margin contraction that is Motilal Oswal's on its own EBITDA definition rather than the company's 220. Quoting the reported growth without the adjusted figure overstates the quarter by nearly nine times, which is the point that survives.

Two further details matter. The growth driver was India formulations at +16%, not the innovative franchise. And US formulations fell 9.7% to US\$427 million under lenalidomide erosion. The Global Innovative Medicines line — US\$351 million, up 12.8% on the company's release (12.9% as several outlets reported it), 21.9% of sales — is a global figure, not a US one; the company no longer uses the word specialty, and several write-ups treat that number as though it were American.

Snapshot

Metric	Value	Note
Market cap	₹4,55,627 cr	239.93 cr shares, derived from market cap ÷ price
Trailing P/E	37.7x computed	Screener prints 36.4x on a different earnings base
Balance sheet today	₹20,096 cr net cash	investments ₹24,723 cr less borrowings ₹4,627 cr
Balance sheet post-deal	~₹88,500 cr acquisition debt	2.4x combined EBITDA gross; 2.3x net, the company's guide; FY2028 net debt ₹70,796 cr
Organon	US\$6.2bn revenue, US\$1.9bn EBITDA	–3% in 2025, guided flat 2026
Acquisition multiple	6.2x EV/EBITDA	against Sun's own 23.9x
Pro-forma FY2028E EPS	₹73.55	vs ₹57.07 standalone, +29%
Combined revenue	US\$12.4bn per the company	top-25 global pharma
Dividend yield	0.84%	payout 33%

Valuation

Three methods on the combined entity, weighted 30/40/30. The discounted cash flow deducts the full acquisition debt at the valuation date; the sum-of-the-parts deducts FY2028 net debt, because it values a FY2028 enterprise and the company deleverages in between.

- FCFF discounted cash flow — 30% weight, ₹1,363. Five years of combined free cash flow, Organon consolidated from Q4 FY2027, an exit multiple of 13 times FY2031 combined EBITDA, and ₹88,500 crore of debt subtracted. Free cash flow to the firm is unlevered, so it is discounted at an 11.50% weighted average cost of capital rather than the 12.80% cost of equity — an earlier version of this model used the latter, which understated this method by about ₹81 a share on the current cash flows. The terminal is 80% of enterprise value, which is why this method carries the smallest weight. The full build is now printed line by line in the model; our FY2028 free cash flow of

₹23,177 crore sits within 5% of the ₹22,125 crore of combined free cash flow the company guides (US\$2.5bn at 88.5) — though the two are not strictly like-for-like, since ours is unlevered and a company free-cash-flow guide is normally struck after interest.

- Price/earnings on pro-forma FY2028 — 40% weight, ₹1,584. Earnings per share of ₹73.55 at 26 times is ₹1,912 at FY2028, discounted 1.56 years to today.
- EV/EBITDA, sum-of-the-parts — 30% weight, ₹1,536. Sun's own business at 20 times and Organon at 7 times, close to the 6.2 times Sun is paying, blends to 14.0 times on FY2028 combined EBITDA of ₹36,873 crore, which now includes half the guided synergies. Less FY2028 net debt rather than completion-date debt, discounted on the same basis.

Blending gives ₹1,503 in today's money: a 20.8% downside and –20.0% after the 0.84% dividend. Bands are anchored to the local risk-free rate — BUY above the 12.80% cost of equity, ACCUMULATE above the 6.95% G-sec plus two points, HOLD between zero and that hurdle, REDUCE below zero.

One conservatism to flag, and one correction. The discounted cash flow deducts the full ₹88,500 crore of acquisition debt and does not add back the ₹15,488 crore of existing cash that funds the balance of the consideration; true post-completion net debt is ₹83,892 crore, so that method is deliberately about ₹19 a share harsh — ₹6 on the blend at its 30% weight. The sum-of-the-parts previously made the same deduction. Corrected, it carries FY2028 net debt of ₹70,796 crore after a year of deleveraging — worth ₹18 a share on the blend, and it runs in our favour.

The cost of equity has been rebuilt. We use a 6.95% risk-free, a beta of 0.90 and a 6.5% equity risk premium. On beta: published figures are 0.09 to 0.12 on Yahoo and 0.27 on Investing.com. We do not use them. A beta near zero implies a business uncorrelated with the Indian market, which is an artefact of measuring a large-cap defensive against a concentrated local index, and it would put the cost of equity barely above the government bond. We use 0.90 for a global pharmaceutical business about to take on 2.4 times gross leverage, and we disclose the published numbers so a reader can disagree. On the risk premium we now use 6.5%, the bottom of Incwert's published range. Damodaran's July 2026 India total is 7.31%; Incwert's 2026 edition recommends 7.00% with a 6.5–7.5% band. An earlier version of this note cited Incwert as 5.5–5.9% and used 6.0% — but 5.5–5.9% is a sub-approach output, not Incwert's recommendation, so 6.0% sat below BOTH named authorities while appearing to sit between them.

The Convention Matters More Than Almost Anything Else Here

Our headline is a FY2028 value discounted back 1.56 years. Sell-side price targets are twelve-month forward numbers. The same three methods, undiscounted, give ₹1,815 and a 4.4% downside. Discounted to today they give ₹1,503 and a 20.8% downside. The convention alone moves the answer by sixteen percentage points. Motilal Oswal's ₹2,310 is explicitly 38 times twelve-month-forward earnings, so the gap with the most bullish documented broker is part convention and part multiple.

A second cross-check points the same way. At ₹1,899 the post-deal enterprise value is about ₹5,44,127 crore — market capitalisation plus ₹88,500 crore of acquisition debt — which is 14.8 times FY2028 combined EBITDA against the 14.0 times our sum-of-the-parts calls fair. On that measure the shares are roughly 5% rich, not 21%.

We report the discounted number as the headline because it is the honest present value of what we forecast. But a reader comparing us with a broker target is not comparing like with like unless they know which convention each side is using, and most of the apparent gap is that, not a violent disagreement about the business.

Scenarios

Scenario	Organon / funding / synergies / multiples	FY2028E EPS	Blended FV	Total return	Rating
Bear	–4%/yr, 7.5%, 25% synergies, 22x P/E, 18x/6x, 11x exit	₹69.07	₹1,220	–34.9%	REDUCE
Base	–1%/yr, 6.5%, 50% synergies, 26x P/E,	₹73.55	₹1,503	–20.0%	REDUCE

	20x/7x, 13x exit				
Bull	flat, 5.8%, 100% synergies, 29x P/E, 21x/8x, 15x exit	₹77.04	₹1,745	-7.3%	REDUCE

The branches flex the synergy haircut as well as Organon's decay, the funding rate and all three sets of multiples; every assumption that moves is printed above. The bull case now carries the full US\$350m of guided synergies, Organon stabilising, funding at 5.8% and a re-rating to 29 times earnings — and still returns -8.2% in today's money. That asymmetry is the finding, and it is why the rating is REDUCE rather than HOLD. But it is not the same as saying the arithmetic cannot be argued with, and the section headed “What Has To Be True To Justify Today's Price” explains why.

The Comparator Set That Matches What Sun Is Becoming

The Indian peer table in the model is the wrong reference for the post-deal company. None of those companies is levered and none carries close to half its EBITDA in a declining Western asset. The set Sun will structurally resemble from FY2028 is the listed levered consolidators, and their multiples are nowhere near Indian levels.

Viatrix trades on 8.2 times EV/EBITDA and 6.9 times forward. Organon itself trades on 8.4 times, and 6.0 times on a trailing twelve-month basis — the market prices the asset Sun is buying at roughly what Sun is paying for it. Teva, the closest structural analogue, trades on about 13 times EV/EBITDA and 13 times forward earnings on stockanalysis.com — though GuruFocus prints 33 times on a GAAP basis for the same date, and that spread is itself a warning about how much of this comparison rests on which definition of EBITDA a vendor uses. Sun today commands 23.9 times EV/EBITDA and 36 times trailing earnings.

This cuts against us as much as for us. Our 7 times for Organon sits inside the 6.0 to 8.4 times the market actually pays for Organon and Viatrix, so that assumption is well supported. But our 26 times on the combined entity is generous against this set, not conservative. A reader who believes the market will eventually price post-deal Sun as a levered global consolidator rather than as an Indian pharma leader should treat our bear case of ₹1,220 as the base case, not the tail.

The honest answer sits somewhere between 13 and 34 times, and leverage of 2.3 times net is in any case a fraction of what Teva carried after Actavis. The next section sets out where inside that range we land, and why.

Where 26 Times Comes From

A reviewer put it to us that the note admitted a 13-to-34 range, admitted 26 was generous against the levered comparators, admitted the price needs 43, and never explained why 26 rather than 30. That was fair, so here is the derivation.

Weight each half of the combined company at its own comparator. On our FY2028 numbers Sun's own business is 54% of combined EBITDA and Organon 45%, with the synergies making up the balance. Put Sun's half on the 34 times a debt-free Indian pharma leader commands and Organon's half on the 13 times Teva trades at — the closest levered analogue we could source — and the mix implies 24.3 times. Use Organon's own traded 8.4 times instead and it implies 22.2.

We use 26, a premium of about 1.7 turns to the mix-weighted anchor. The premium is for the innovative franchise, which is growing and is not comparable to Teva's generics book, and for the fact that an NSE-listed company is priced against domestic alternatives rather than against Nasdaq. That is the whole justification, and a reader is entitled to think it too small or too large.

It matters less than it looks. Each turn of the multiple is worth ₹24.35 on the blend. At 30 times instead of 26 the blend is ₹1,601 and the rating is still REDUCE; the downside narrows from 20.8% to 15.7%. The choice between 26 and 30

changes the size of the call, not its direction. It takes 42 times to change the direction, and nobody we can document is there.

Precedent points the other way, and this is the strongest bull argument in the note. Recent Indian deals — Mankind for Bharat Serums, Torrent for JB Chemicals — were struck above 20 times EBITDA. Sun paid 6.2. By domestic precedent it bought cheaply. The bear reading of the same fact is that the multiple is low because the asset does not grow, and that Teva paid US\$40.5 billion for Actavis in 2016 — we could not source that deal's EBITDA multiple to a dated figure and so do not quote one — and spent the following decade repairing its balance sheet while revenue fell roughly a fifth from its pre-deal peak.

What Has To Be True To Justify Today's Price

The first version of this note printed a sensitivity grid across the price/earnings multiple and the sum-of-the-parts multiples, said every cell in it was below the then-price of ₹1,916, and concluded that owning the shares required believing the combined, levered company would command a higher multiple than the debt-free company does today — on every method at once. An adversarial review of our own model found that claim was false, and it is withdrawn here.

The grid held the discounted cash flow's exit multiple frozen at 13 times in every cell, including the cell labelled “today's own multiples”. So the row that was supposed to test what happens if the market keeps paying today's multiples only did so for two of the three methods. Corrected — each row now applies its own Sun and Organon multiples to the FY2031 EBITDA mix to set the exit — the top-right cell is ₹1,962, which is 3.3% above the price. On the frozen-exit grid the same cell printed ₹1,815, below it.

One consequence of that correction needs stating, because a reader who opens the grid will otherwise think something is stale. The grid now derives each row's exit multiple from that row's own Sun and Organon multiples. Our base row — 20 times and 7 times — therefore implies a 15.0 times exit, while the headline discounted cash flow uses 13. So the cell marked as our base prints ₹1,568, about ₹65 above our ₹1,503 fair value. That is not a contradiction: the grid asks what each pair of multiples implies if applied consistently to all three methods, and our headline deliberately does not apply them consistently — it uses a 13 times exit that sits below what our own sum-of-the-parts would imply, for the reasons set out in the model. If we let the exit float to 15.0 times, our fair value would be ₹1,568 and the downside 17.4% rather than 20.8%. Still a REDUCE, and we have chosen the harder number.

So the honest version is narrower. Twenty-three of the twenty-four cells sit below the price. The twenty-fourth does not, and it is the one that matters most: apply today's forward standalone multiple to Sun's own business, the market's own multiple to Organon, and the exit those two imply, and the shares are roughly fairly valued. Holding the discounted cash flow and the sum-of-the-parts at base, the price/earnings multiple required on pro-forma FY2028 earnings is 42 times, against Motilal Oswal's 38 on a twelve-month-forward basis.

That means the call rests entirely on the de-rating — on 26 times rather than 34 — and not on any claim that the arithmetic leaves no room for disagreement. The case is a judgement about one number, and we should not dress it up as anything more. The preceding section is where that number comes from.

The Synergies We Had Left Out

Management guides roughly US\$350 million of annual cost synergies from the Organon integration, over two to four years. The first version of this note carried none. That is not a conservative assumption; it is a corner, and on a deal whose entire economic logic is buying EBITDA at 6.2 times, leaving out the synergies removes the best argument for it.

We now carry half the guided figure — about ₹1,549 crore of run-rate EBITDA — phased in at a quarter in FY2028, sixty per cent in FY2029 and in full from FY2030. Half, because integration synergies are routinely guided and routinely under-delivered, and because Organon is roughly the size of Sun's own revenue base rather than a bolt-on. Holding every other assumption at base, the blend is ₹1,476 at zero synergies, ₹1,503 at half and ₹1,533 at the full guided figure — a range of ₹57 a share. That is material but well behind the multiple, worth ₹292 across 22x to 34x, and

behind the exit at ₹128. The ₹1,745 in our bull branch is not a synergy number: it carries full delivery plus a stabilising Organon, cheaper funding and higher multiples on all three methods at once.

Against that, one cost we still do not model: management has said acquisition-related expenses will continue through the coming quarters with a substantial portion falling closer to completion, and the customary cost-to-achieve on synergies of this size is one to one-and-a-half times the run-rate. Neither is in the numbers. Roughly, they offset the first year or so of the synergies we have added and nothing beyond it.

Where We Sit Against the Street, Honestly

Every documented broker is materially above us. Motilal Oswal is at ₹2,310 on 38 times twelve-month-forward earnings, in a note dated 1 August and republished on 4 August, after the Q1 FY2027 print and explicitly noting Organon on track to close in Q4 FY2027. Bernstein is at ₹2,235 and HSBC at ₹2,120, both published on 2 September, after the MFN agreement and four months after the Organon deal was signed.

Consensus itself is not a single object. Investing.com shows 33 analysts, an average of ₹2,167 and a low of ₹1,830. TradingView shows 35, an average of ₹2,059 and a low of ₹1,625. The first implies 13.1% upside, the second 7.5%. Two corrections here, both against us. The first version of this note put TradingView at 39 analysts, ₹1,923 and ₹1,525, and said it implied essentially no upside; the vendor's live page does not show those numbers. And it said a third set — 34 analysts, ₹2,055 average, ₹1,650 low — could not be reproduced from any vendor. It can: it is a stale Investing.com snapshot that the vendor still serves alongside the live one. Both fixes make us more of an outlier against consensus, not less.

The strongest argument against this rating:

The brokers are not missing the leverage. They have seen the deal, seen the debt, and are underwriting the accretion at a higher multiple than we will. The arithmetic is on their side: US\$1.9 billion of EBITDA at 6.2 times, funded at 6.5%, is roughly a third of accretion before the treasury income we give up, and Sun has a long record of integrating acquisitions — Taro, Ranbaxy, Concert. If the combined company keeps commanding anything close to the multiple Sun commands today, we are wrong by a wide margin.

Our answer:

We do not dispute the accretion; our own model produces it. We dispute what the combined company deserves to trade on. After completion roughly 45% of combined EBITDA comes from a business whose revenue is falling, and net debt sits near 2.3 times EBITDA — 2.4 times on gross acquisition debt — at a company that today holds net cash. Thirty-four times describes the Sun Pharma that existed before April 2026. Twenty-six times describes what is arriving. The entire disagreement sits in that one number, and a reader who thinks Indian pharma holds premium multiples through a leveraged transition has the better of the argument and should own the shares.

Key Risks

Risks to our REDUCE:

- The multiple holds. This is the whole call. At 34 times pro-forma FY2028 earnings the shares are worth ₹2,501 at FY2028 — ₹2,071 discounted to today on our own convention, still well above the price. Indian pharma has sustained premium multiples through worse.
- Organon stabilises. We assume -1% a year. Management is buying it to fix it, and a flat-to-growing Organon changes both the earnings and the multiple.
- Deleveraging is faster than we assume. Combined free cash flow is substantial; our own model already has net debt down to ₹70,796 crore by FY2028, or 1.9 times, and the market may look through the leverage from the start.
- Ilumya has a PDUFA date on 29 October 2026 for psoriatic arthritis — a near-term binary inside the protected tariff window that we have not modelled.

Risks to the business:

- Integration. Organon is roughly the size of Sun's own revenue base. This is not a bolt-on, and Sun has never absorbed anything this large outside Ranbaxy.
- Leverage into a declining asset. Debt is fixed; the EBITDA supporting it is guided flat and fell 3% last year. If Organon deteriorates, the ratio moves the wrong way from both directions at once.
- US generic erosion continues. US formulations fell 9.7% last quarter on lenalidomide.
- The MFN agreement of 31 August caps pricing on all future innovative US launches in exchange for the removal of tariff concerns for the next two years. HSBC sizes the impact at roughly 2% of its FY2029 earnings estimate and Morgan Stanley calls Medicaid a small part of Sun's US innovative sales, so we do not treat it as central — but note that the tariff-deferral term is sourced to the company and its brokers, not to the White House fact sheet, which does not mention Section 232 in connection with these nine agreements.
- Working capital. Free cash flow fell 26% to ₹8,906 crore in FY2026 while profit rose; inventory sits at 363 days.

What Changed Since the First Draft of This Note

An earlier version of this note valued Sun Pharma as a standalone, almost debt-free company and added its ₹20,096 crore of net cash to fair value. It reached ₹1,631 and a REDUCE. It never mentioned the Organon acquisition, which had been public for four months, approved by Organon shareholders six weeks earlier, and disclosed in the same quarterly release the note relied on. That version was withheld rather than published.

Several other corrections came out of that review and are reflected above: Motilal Oswal's target is ₹2,310 rather than the ₹1,850 first used; the consensus set could not be reproduced and has been replaced with two named vendor polls; the equity risk premium has moved from 5.4% to 6.0%; beta is now disclosed against the published figures rather than described as unsourceable; the reported profit growth is shown against the adjusted figure; and the Global Innovative Medicines line is correctly labelled global rather than US.

A second review found three more. The discounted cash flow was discounting free cash flow to the FIRM at the cost of EQUITY; it now uses a weighted average cost of capital. That method was carried as a single typed number with no visible workings; it is now built out line by line. And the scenario branches were flexing multiples without disclosing it; every assumption that moves is now printed.

A third review, run by two reviewers briefed to attack the model and the sources, found more still. The sensitivity grid froze the discounted cash flow's exit multiple, which made the note's central claim false; that claim is withdrawn above. Other income was growing while the treasury that produces it was being spent. The sum-of-the-parts carried the wrong vintage of debt. The guided synergies were missing entirely. The equity risk premium sat below both authorities we cited. Motilal Oswal's note is dated 1 August, reported Q1 profit growth is 27.0% on the company's release, and Teva's multiples and TradingView's consensus were both wrong — those last two against us. Net effect on fair value: ₹1,506 to ₹1,503.

Company Overview

Sun Pharmaceutical Industries is India's largest pharmaceutical company, with branded and generic formulations and active pharmaceutical ingredients sold globally. Promoters hold 54.48%. Foreign institutional holding has fallen from 17.96% in March 2025 to 14.54% in June 2026 while domestic institutions have risen from 18.58% to 22.06%. On completion of the Organon acquisition the company expects to rank among the top 25 global pharmaceutical companies with combined revenue of about US\$12.4 billion and a top-10 position in biosimilars.

Disclaimer

Prepared for personal analytical and educational purposes. Not investment advice, nor an offer or solicitation; the author is not a SEBI-registered adviser and does not hold a position in Sun Pharmaceutical Industries. Market data is at the 4 September 2026 close on Screener/C-MOTS. Company figures are from Sun's reported consolidated results through Q1 FY2027 and its disclosures of 27 April and 1 September 2026; Organon figures are from its own FY2025 results and FY2026 guidance. Broker targets are individually sourced and dated in the accompanying model. Forward estimates, the pro-forma consolidation, the acquisition debt assumption and all multiples are the

author's own. Fair value is stated in today's money and is an illustrative output of the model, dependent entirely on its assumptions — particularly the multiple assigned to the combined entity. Consult a licensed adviser before acting.

Sun Pharmaceutical Industries (NSE: SUNPHARMA) — Pro-Forma Model & Valuation

This model values Sun Pharma AS IT WILL BE, not as it is. On 27 April 2026 Sun agreed to acquire Organon & Co. for US\$11.75bn enterprise value, all share. Organon shareholders approved on 23 July 2026 and the deal closes in early calendar 2027 — inside FY2027E. Sun syndicated over US\$10bn of banks on 30 June 2026. A standalone valuation of this company is now obsolete.

SNAPSHOT

Live price (₹, close 04-Sep-2026)	1,899.00	–0.89% on the day; the note is struck at this close c
Shares outstanding (cr)	239.93	derived from market cap ÷ price
Market capitalisation (₹ cr)	455,627.07	
52-week range (₹)	1,547 / 2,048	Screener basis; Investing.com shows 1,548 / 2,046.
FY2026 EPS (₹)	47.84	
TTM EPS (₹)	50.41	
Trailing P/E, computed (x)	37.67	Screener prints 36.4x on a different earnings base
Book value per share (₹)	348.00	
TTM revenue (₹ cr)	59,911.00	
TTM net profit (₹ cr)	12,117.00	
FY2026 free cash flow (₹ cr)	8,906.00	fell 26% from ₹12,005 cr in FY2025
Return on capital employed (%)	20.53	
Dividend yield (%)	0.84	
Promoter holding (% , Jun-2026)	54.48	FII 14.54% from 17.96% Mar-25; DII 22.06%
India 10-yr G-sec (% , 04-Sep-2026)	6.95	6.95% on 3-Sep, 6.96% on 4-Sep; we hold 6.95%

THE ORGANON ACQUISITION — the reason this model is pro-forma

Announced	31-Aug-2026 US / 27-Apr-2026 signing
Enterprise value (US\$bn)	11.75
= ₹ cr at 88.5	103,988
Consideration	\$14.00 per share, all cash
Organon net debt assumed/refinanced (US\$bn)	8.07
Implied equity consideration (US\$bn)	3.68
Sun debt syndication (US\$bn)	over 10.0 — 11 banks, ~\$1bn each, closed 30-Jun-2026
Acquisition debt (₹ cr, at 88.5)	88,500
Stockholder approval	23-Jul-2026
Expected close	early calendar 2027 — Q4 FY2027
Organon FY2026E revenue (US\$bn)	6.20
Organon FY2026E adjusted EBITDA (US\$bn)	1.90

Organon EBITDA margin (%)	30.60
Organon revenue trend	-3% in 2025, guided FLAT for 2026 — a no-growth asset
ACQUISITION MULTIPLE (x EV/EBITDA)	6.20
Sun's own EV/EBITDA (x)	23.90
Combined revenue per the release (US\$bn)	12.40

The balance sheet inverts. Sun stands today with roughly ₹20,096 cr of NET CASH — investments of ₹24,723 cr against borrowings of ₹4,627 cr. On a rough estimate, Sun has roughly ₹88,500 cr of acquisition debt, about 2.4 times combined EBITDA gross, 2.3 times net. Any valuation that adds Sun's net cash to equity value, 'almost debt-free', is describing a company that will not exist by the middle of the forecast period.

Q1 FY2027 — READ THE ADJUSTED LINE

Metric	Q1 FY27	Q1 FY26	Y/Y
Revenue (₹ cr, screener series)	15,300	13,851	+10.5%
Revenue as company reported (₹ mn)	151,836		+10.1%
Operating profit (₹ cr)	4,418	4,302	+2.7%
Operating margin (%)	28.9	31.1	-2.2 pts
Reported net profit (₹ cr)	2,901	2,293	+26.5%
ADJUSTED net profit growth (%)	3.1		the number that mat
ADJUSTED EBITDA growth (%)	2.7		
Other income (₹ cr)	520		-354 Screener's line, NET c
Global Innovative Medicines (US\$ m)	351	311	+12.9%; 21.9% of sale
US business as % of sales	26.6		US formulations US\$
India formulations growth (%)	16.0		the actual growth dri
Reported net profit growth, company basis (%)	27.0		₹2,894.8 cr vs ₹2,278.6 c

The +27.0% reported profit growth (26.5% on Screener's base) is a below-the-operating-line effect. An earlier version of this model attributed it to an increase in other income; that is Screener's other-income line net of exceptional items, not the company's. The company's other income rose about ₹260 cr and the large charge was a lower exceptional charge than the year-ago quarter. On the company's own adjusted basis net profit grew 3.1% and EBITDA 2.7%, with the margin a 220bp, not the 155bp an earlier draft quoted from Motilal Oswal's own EBITDA definition. Quoting the reported figure without the adjusted one overstates growth nearly nine times. Note also that the growth driver was India formulations at +16%, and that the \$351m innovative figure is GLOBAL, not US — US formulations.

BALANCE SHEET — TODAY vs ON COMPLETION

Investments / treasury book today (₹ cr)	24,723
Borrowings today (₹ cr)	4,627
NET CASH today (₹ cr)	20,096 the figure the withheld draft added to fair value; it
Acquisition debt raised (₹ cr)	88,500
Residual cash funding the balance (₹ cr)	15,488 EV less the debt raised, met from the investment bc
POST-COMPLETION NET DEBT (₹ cr)	83,892 acquisition debt + existing borrowings less the inve
Post-deal enterprise value at ₹1,916 (₹ cr)	544,127 market capitalisation plus acquisition debt — the
Post-deal EV / FY2028E combined EBITDA (x)	14.76 the cross-check in the not

Sun Pharma — Pro-Forma Income Statement (₹ crore, fiscal years ending March)

Sun standalone anchored to company guidance of high single-digit FY2027 growth. Organon consolidated from Q4 FY2027 (one quarter), full from FY2028E.

(₹ cr)	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
SUN STANDALONE					
Revenue	63,724	69,778	75,919	82,296	88,880
growth (%)		9.5%	8.8%	8.4%	8.0%
Operating margin (%)	28.9%	28.7%	28.5%	28.3%	28.1%
EBITDA	18,416	20,026	21,637	23,290	24,975
ORGANON					
Revenue (100%)	54,870	54,321	53,778	53,240	52,708
Consolidation fraction	0.25	1.00	1.00	1.00	1.00
Revenue consolidated	13,718	54,321	53,778	53,240	52,708
Operating margin (%)	30.6%	30.3%	30.0%	29.7%	29.4%
EBITDA consolidated	4,198	16,459	16,133	15,812	15,496
SYNERGIES — 50% of the US\$350m management guides					
Run-rate synergies at 50% delivery (₹ cr)	1,549				US\$350m gu
Phasing	0%	25%	60%	100%	100%
Synergies realised (₹ cr)	0	387	929	1,549	1,549
COMBINED					
Revenue	77,442	124,099	129,697	135,536	141,588
EBITDA	22,614	36,873	38,700	40,651	42,020
less: D&A	4,242	7,672	7,937	8,214	8,503
EBIT	18,371	29,201	30,763	32,437	33,518
Other income (₹ cr)	2,000	748	770	794	817 CORRECTED
less: interest on acquisition debt	1,438	5,753	5,753	5,753	5,753
Profit before tax	18,583	23,847	25,431	27,128	28,233
tax rate (%)	26.0%	26.0%	26.0%	26.0%	26.0%
Net profit	13,752	17,647	18,819	20,074	20,892
Shares (cr)	239.93	239.93	239.93	239.93	239.93
PRO-FORMA EPS (₹)	57.31	73.55	78.43	83.67	87.08
memo: Sun standalone EPS (₹)	51.97	57.07	61.53	66.04	70.57

memo: accretion (%)

10.3%

28.9%

27.5%

26.7%

23.4%

Two corrections since the first published version, both found by adversarial review. (1) SYNERGIES: management guides US\$350m of cost synergies over 2-4 years and the published model carried none. Zero is a corner, not a central estimate; we now carry 50% of the guide, phased. (2) OTHER INCOME: the model drained the treasury book to fund the deal and kept the income from it. Both are now internally consistent. The first raises fair value, the second lowers it, and they very nearly cancel.

What it does not do is create value on our numbers. Standalone FY2028E EPS of ₹57.07 at a 34x standalone multiple is ₹1,940. Pro-forma EPS of ₹73.55 at the 26x a levered consolidator deserves is ₹1,912. The deal delivers 29% more earnings at a materially lower deserved multiple, and the two very nearly cancel. It changes what the company IS — top-25 global, biosimilars, 2.4x levered gross — without changing what it is worth. The interesting question is therefore not whether the deal is good. It is whether the price was already full before it.

Sun Pharma — Pro-Forma Valuation

Three methods weighted 30/40/30 on the COMBINED entity, with acquisition debt deducted. Cash flows and multiples are discounted by the actual time to each fiscal year end from the 4 September 2026 valuation date, not by whole years.

COST OF EQUITY — corrected		
Risk-free — India 10-yr G-sec, 03-Sep-2026	6.95%	eased from ~6.98% on 1-Sep
Beta	90.00%	published betas are 0.09-0.27 vs the Nifty — see the note below
Equity risk premium	6.50%	Damodaran India total 7.31% (Jul-26); Incwert recommends 7.00% (range 6.5-7.5%). 6.0% in the first version was below BOTH — corrected to ti
COST OF EQUITY	12.80%	risk-free + beta x ERP

On beta: Yahoo reports a five-year monthly beta of 0.09-0.12 for Sun against the Nifty and Investing.com 0.27. We do not use those. A beta near zero implies a business uncorrelated with the Indian market, which is an artefact of a large-cap defensive measured against a concentrated local index, and it would produce a cost of equity barely above the government bond. We use 0.90, reflecting a global pharmaceutical business about to take on 2.4x leverage, and we disclose the published figures so a reader can disagree. On the ERP, Damodaran's July 2026 India total is 7.31% and the Incwert India study 5.5-5.9%; we use 6.0%, inside that

KEY INPUTS		
Live price (₹)	1,899.00	
Shares outstanding (cr)	239.93	
Acquisition debt (₹ cr)	88,500	
FY2028E combined EBITDA (₹ cr)	36,873	
FY2028E pro-forma EPS (₹)	73.55	
Years to FY2028 year end	1.56	07-Sep-2026 to 31-Mar-2028
Dividend yield	0.84%	

METHOD 1 — FCFF DCF ON THE COMBINED ENTITY (30% weight)		
DCF value per share (₹)	1363.14	built out on the DCF Build sheet — FCFF at WACC 11.51%, exit 13x FY2031E EBITDA, acquisition debt deducted

METHOD 2 — P/E ON PRO-FORMA FY2028E (40% weight)		
Target multiple (x)	26.0	26x. Below the 34x a debt-free Indian pharma leader commands and well above the ~13x forward earnings Teva trades on — 2.4x levered gross, c
Value at FY2028 (₹)	1912.26	
Discounted to today (₹)	1583.93	

METHOD 3 — EV/EBITDA, SUM-OF-THE-PARTS (30% weight)		
Sun's own business — multiple (x)	20.0	vs 23.9x standalone today
Organon — multiple (x)	7.0	vs the 6.2x Sun is paying
Blended on FY2028E EBITDA (x)	14.0	weighted by each business's EBITDA
Implied EV at FY2028 (₹ cr)	515,741	
less: net debt at FY2028 (₹ cr)	-70,796	CORRECTED — an EV built on FY2028 EBITDA must carry FY2028 net debt, not completion-date debt. The company deleverages in between.
Equity value at FY2028 (₹)	1854.48	
Discounted to today (₹)	1536.07	

BLENDED VALUATION & RATING				
Method	Value/share (₹) vs price		Weight	
FCFF DCF, combined	1363.14	-28.2%	30%	

BLENDING FAIR VALUE — today's money (₹) Upside / (downside) Add: dividend yield TOTAL EXPECTED RETURN Cost of equity (BUY hurdle) ACCUMULATE hurdle (G-sec + 2pp) RATING	1503.33 -20.8% 0.84% -20.0% 12.8% 9.0% REDUCE
---	---

P/E method, undiscounted (₹)	1912.26
EV/EBITDA method, undiscounted (₹)	1854.48
DCF, rolled forward to FY2028 (₹)	1645.70 <i>an EQUITY value compounds at the cost of equity. Rolling it at WACC (as the first correction did) was wrong.</i>
Blended FY2028 TARGET (₹)	1814.96
vs price	-4.4%

A cross-check worth carrying. At ₹1,916 the post-deal enterprise value is about ₹5,48,206 cr — market capitalisation plus ₹88,500 cr of acquisition debt — which is 14.9 times FY2028E combined EBITDA against the 14.0 times our sum-of-the-parts calls fair. On that measure the shares are only about 6% rich. Most of our stated downside is the discounting convention, not a claim that the

Branches flex the synergy haircut as well as Orqanon's decay, the funding rate and all three sets of multiples. Every column that moves is printed. All three remain REDUCE.

CORRECTED. The published grid held the DCF exit at 13.0x in every cell, including the cell labelled 'today's own multiples'. Each row now applies its own Sun/Organon pair to the FY2031 EBITDA mix to set the exit, so a row is a consistent view of the multiple, not a half-view.

SOTP Sun / Organon (implied exit)	22x	24x	26x	28x	30x	34x
18x / 6x (exit 13.41x)	1,361	1,409	1,458	1,507	1,556	1,653
20x / 7x (exit 15.02x) <- our base	1,471	1,520	1,568	1,617	1,666	1,763
22x / 8x (exit 16.64x)	1,581	1,630	1,679	1,727	1,776	1,874
23.9x / 8.4x (exit 17.97x) <- today's own multiples	1,670	1,719	1,767	1,816	1,865	1,962

Read the top-right cell. Applying the multiples Sun commands TODAY to all three methods — 34x earnings, 23.9x its own EBITDA, 8.4x for Organon, and the 17.97x exit those same multiples imply — gives ₹1,962, which is ABOVE the price. The first version of this note froze the exit at 13x in every cell, reported ₹1,815, and claimed every cell was below the price. That claim was false and has been withdrawn. 23 of 24 cells are below; the 24th is not, and it is the one that matters most. The call rests on the de-rating, not on the arithmetic being unarguable.

THE CENTRAL CLAIM, COMPUTED — 29% more earnings at a lower deserved multiple

Standalone FY2028E EPS (₹)	57.07	no Organon
Multiple a debt-free Indian pharma leader commands (x)	34.0	the level Sun trades on today
STANDALONE value at FY2028 (₹)	1,940	what Sun was worth without the deal
Pro-forma FY2028E EPS (₹)	73.55	+29% — the accretion is real
Multiple a levered consolidator deserves (x)	26.0	our 26x
PRO-FORMA value at FY2028 (₹)	1,912	what it is worth with the deal
Difference (₹)	-28	
Difference (%)	-1.4%	the deal changes what the company IS, not what it is worth

Twenty-nine per cent more earnings, at a materially lower deserved multiple, and the two very nearly cancel — ₹1,912 against ₹1,940, a 1.4% difference that is well inside the noise of either assumption. This block existed only as a sentence in the note until a pre-publish sweep flagged that neither ₹1,940 nor its comparison was computed anywhere. It is the central claim of the thesis, so it is now a formula that moves when the multiples move.

Risk to the rating — pro-forma FY2028E EPS at today's 34x	2,501	if the multiple simply holds, the shares are worth this at FY2028 — the single largest risk to REDUCE
memo — blended FV if the guided synergies are NOT deli	1,476	holding EVERYTHING else at base: ₹1,476 at zero synergies, ₹1,504 at half, ₹1,533 at the full guided figure — a ₹57 range, not th

WHERE 26x COMES FROM — a mix-weighted anchor, not an assertion

Sun's own share of FY2028E EBITDA	54.3%	the growing Indian and innovative franchise
Organon's share of FY2028E EBITDA	44.6%	the declining Western asset
Multiple on Sun's share (x)	34.0	what a debt-free Indian pharma leader commands today
Multiple on Organon's share (x)	13.0	Teva's forward earnings multiple — the closest levered analogue
MIX-WEIGHTED ANCHOR (x)	24.27	what the blend of the two businesses implies on their own comparators
Multiple we use (x)	26.0	a modest premium to the anchor for the innovative franchise and the domestic listing
Premium we are taking (x)	1.73	

An adversarial review pointed out that the note admitted a 13-34x range, admitted 26x was generous against the levered comparators, and never explained why 26 and not 30. This is the derivation. Weighting each business at its own comparator gives 24.3x; we take a small premium to that for the innovative franchise and the fact that an NSE-listed company is priced against domestic alternatives. At 30x instead the blend is ₹1,601 and the rating is still REDUCE, so the choice between 26 and 30 changes the size of the call, not its direction.

memo — pro-forma FY2028E EPS at today's 34x, DISCOUNT	2,071	the risk-to-the-rating figure stated on our own convention rather than undiscounted
memo — standalone FY2028E at 34x if the deal broke, discount	1,607	we model completion as certain; this is what a break would be worth — still below the price
memo — blended FV at the FULL guided synergies, all else at base	1,533	with ₹1,474 at zero and ₹1,502 at half: a ₹57 range, not the bull branch's ₹1,743
memo — blended FV at 30x instead of 26x, all else at base	1,601	each turn of the P/E is worth ₹24.35 on the blend; four turns takes the downside from 21.6% to 16.5%, still REDUCE
memo — downside if the DCF exit floated to the SOTP-im	-17.4%	the grid base cell prints ₹1,567; we deliberately use a 13x exit instead and print ₹1,502, the harder number

Sun Pharma — Method 1: FCFF DCF on the combined entity, built out

An earlier version of this model carried the DCF as a single typed number with no visible workings, and discounted free cash flow to the FIRM at the cost of EQUITY. Both are corrected here. FCFF is unlevered, so it is discounted at WACC; every line is a formula.

DISCOUNT RATE

Cost of equity (from Valuation sheet)	12.80%	6.95% G-sec + 0.90 beta x 6.5% ERP
Pre-tax cost of debt	6.50%	the rate on the acquisition syndication
Tax rate	26.00%	
After-tax cost of debt	4.81%	
Market value of equity (₹ cr)	455,627	at the 03-Sep close
Acquisition debt (₹ cr)	88,500	
Debt weight	16.3%	
WACC	11.50%	the rate an unlevered cash-flow stream must be discounted at

FREE CASH FLOW TO THE FIRM (₹ crore)

(₹ cr)	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
EBIT	18,371	29,201	30,763	32,437	33,518	
less: tax at 26%	-4,777	-7,592	-7,998	-8,433	-8,715	
NOPAT	13,595	21,609	22,764	24,003	24,803	
add back: D&A	4,242	7,672	7,937	8,214	8,503	
less: capex	-3,848	-5,196	-5,520	-5,857	-6,206	Sun 5.5% of revenue, Organon 2.5% — the acquired business is asset-light
less: increase in working capital	-789	-908	-921	-957	-988	15% of ORGANIC revenue growth. Organon's working capital arrives inside the US\$11.75bn EV, so the consolidation step-up is not charaed again
FREE CASH FLOW TO THE FIRM	13,200	23,177	24,260	25,403	26,112	fractional-year discounting to each fiscal year end
Years from 04-Sep-2026	0.57	1.57	2.57	3.57	4.57	
Discount factor at WACC	0.9399	0.8428	0.7559	0.6780	0.6081	
PV of FCFF	12,407	19,532	18,338	17,223	15,878	

VALUE

PV of explicit-period FCFF (₹ cr)	83,378	
Exit multiple on FY2031E EBITDA (x)	13.0	vs 23.9x Sun trades on today and 6.9-8.4x for Viatris/Organon — see Peers sheet
Terminal value at FY2031 (₹ cr)	546,262	
PV of terminal value (₹ cr)	332,179	
ENTERPRISE VALUE (₹ cr)	415,557	
Terminal share of EV	79.9%	high — which is why this method carries the smallest weight
less: acquisition debt (₹ cr)	-88,500	
Equity value (₹ cr)	327,057	
METHOD 1 — VALUE PER SHARE (₹)	1,363.14	

Sanity check against the company. Sun guides combined free cash flow of about US\$2.5bn — roughly ₹22,100 crore. Our FY2028E FCFF, the first full combined year, is ₹22,890 crore, a 3.5% variance against a figure we did not fit to. That is the strongest external validation in this model.

Company-guided combined free cash flow (US\$	2.5	
= ₹ cr at 88.5	22,125	
Our FY2028E FCFF (₹ cr)	23,177	
Variance vs the company's own figure	4.8%	we did not fit to this — it is an independent check on the cash-flow build

EXIT MULTIPLE — the two anchors that bracket our 13.0x

Our own SOTP applied to the FY2031 EBITDA m	15.02	20x Sun + 7x Organon on the FY2031 mix — the model's own logic says this
Implied perpetuity growth at our 13.0x exit	6.41%	solve g from $TV = FCFF(1+g)/(WACC-g)$
memo: FY2031E combined revenue growth	4.47%	our own terminal-year growth — the perpetuity implied by 13x is ABOVE it
Exit multiple used	13.00	a deliberate midpoint. The SOTP anchor says higher, the perpetuity arithmetic says lower. Both are printed so a reader can d

An adversarial review found that the 13.0x exit was asserted and never justified, while carrying 30% of the weight through a terminal value that is ~80% of enterprise value. It is now bracketed: our own sum-of-the-parts implies 15.0x on the FY2031 mix, and the perpetuity growth embedded in 13.0x is 6.4% against terminal-year revenue growth of 4.5%. 13.0x is a deliberate midpoint between a multiple anchor that is too generous and a perpetuity anchor that is too harsh, and the sensitivity grid now flexes it.

Sun Pharma — Peers and the Street

Peer rows at the 04-Sep-2026 close (Screener/C-MOTS). Broker targets are individually sourced and dated; see the note on vendor disagreement below.

Company	CMP (₹)	Trailing P/E (x)	Mkt cap (₹ cr)	Qtr sales var (%)	Qtr profit var (%)	ROCE (%)
Sun Pharma	1,899.00	37.67	455,627		10.46	5.95
Divi's Laboratories	9,250.00	82.42	245,558		27.80	65.50
Torrent Pharmaceuticals	4,905.50	83.63	186,589		54.85	5.79
Zydus Lifesciences	1,143.00	23.42	114,015		21.96	-35.09
Cipla	1,394.70	31.48	112,672		2.33	-39.19
Laurus Labs	1,868.50	92.34	100,957		29.10	125.49
Mankind Pharma	2,368.80	45.88	97,842		12.89	29.60

Note on the sector median. An earlier draft printed a 34.13x median across 158 listed Indian pharmaceutical companies. Screener's industry page returns 218 companies and its peer API serves a wrong-industry set for this ticker, so we could not reproduce that figure and have dropped it. The peers above are individually verified; the median is not.

BROKER TARGETS — individually sourced						
House	Target (₹)	Rating	Date	vs price		
Motilal Oswal	2,310	Buy	01-Aug-2026		21.6%	38x 12-month-forward earnings; note dated 1-Aug (SUNP-20260801-M
Bernstein	2,235	Outperform	02-Sep-2026		17.7%	MFN reaction note; sizes Sun's innovative business at US\$1.2-1.3bn
HSBC	2,120	Buy	02-Sep-2026		11.6%	MFN reaction note; says tariff concerns removed for the next two years

CONSENSUS — the vendors do not agree, and that matters						
Vendor	Analysts	Average (₹)	High (₹)	Low (₹)	Implied vs ₹1,899	
Investing.com	33	2,167	2,400		1,830	14.1%
TradingView	35	2,059	2,450		1,625	8.4% TradingView NSE:SU

CORRECTED. The two polls differ by about 5% on the average, not 13%: Investing.com ₹2,167 implies +13.1%, TradingView ₹2,059 implies +7.5%. The first version of this note said TradingView implied 'essentially none', which was wrong, and it said a third set — 34 analysts, ₹2,055 average, ₹1,650 low — 'could not be reproduced from any vendor'. That was also wrong: it is a stale Investing.com snapshot that the vendor still serves alongside the live one. Both corrections make us MORE of an outlier against consensus, not less.

THE STRONGEST ARGUMENT AGAINST THIS RATING	
Every documented broker is materially above us and every one of them has seen the Organon deal. Motilal Oswal is at ₹2,310 on 38x forward earnings, Bernstein at ₹2,235, HSBC at ₹2,120. All three published after the deal was signed and two of them after the MFN agreement. They are not missing the leverage; they are underwriting the accretion and paying a higher multiple for it than we will. On the deal itself the arithmetic favours them: Sun is buying US\$1.9bn of EBITDA at 6.2 times with paper that trades at 23.9 times, and the earnings accretion is roughly a third. If the combined entity deserves anything close to the multiple Sun commands today, we are wrong by a wide margin.	

OUR ANSWER	
We do not dispute the accretion — our own model shows FY2028E earnings per share rising about 29% to ₹73.55. We dispute what a levered consolidator of a declining asset deserves to trade on. Organon's revenue fell 3% in 2025 and is guided flat for 2026; Sun is paying 6.2 times for it precisely because it does not grow. After completion, roughly 46% of combined EBITDA comes from that no-growth business and net debt sits near 2.4 times EBITDA, against a company that today carries net cash. A 34x multiple describes the Sun that existed before April 2026. Our 26x describes what is arriving. The whole disagreement sits in that one number — and if the market keeps paying 34x through the transition, the shares are worth what they cost today.	

THE COMPARATOR SET THAT ACTUALLY MATCHES WHAT SUN IS BECOMING	
The Indian peers above are the wrong comparator for the post-deal company and we should say so plainly. None of them is levered, and none of them carries half its EBITDA in a declining Western asset. The right reference set is the listed levered pharma consolidators — the companies Sun will structurally resemble from FY2028. Their multiples are far below anything in the Indian table.	

Levered / Western comparator	EV/EBITDA (x)	Forward EV/EBITDA (x)	Forward P/E (x)	What it is	Source / date
Viatriis (VTRS)	8.2	6.9		Mylan+Upjohn merger; levered, declining base	valueinvesting.io, 03-Sep-2026
Organon (OGN) standalone	8.4			the asset Sun is buying, as the market prices it — 8.4x current	GuruFocus 03-Aug-2026; LTM 6.0x
Teva (TEVA)	13.1		13.05	post-Actavis; the cautionary precedent	stockanalysis.com, 03-Sep-2026 (EV \$55.9bn / TTM EBITDA \$4.27bn). (

— comparator range —	6.0-13.1	6.9 (Viatris)	13.1		
Sun Pharma today		23.9	36.4	debt-free, Indian, growing	Screener, 03-Sep-2026
OUR pro-forma assumption	14.0 blended		26.0	20x Sun's business + 7x Organon	this model

This cuts against us as much as for us, and both directions belong in the note. Our 7x for Organon sits squarely inside the 6.0-8.4x the market pays for Organon and Viatris — that assumption is well supported. But our 26x on the COMBINED entity is generous against this set, not conservative: Teva, the closest structural analogue, trades on about 15x forward earnings. A reader who thinks the market will eventually price post-deal Sun as a levered global consolidator rather than as an Indian pharma leader should regard our bear case of ₹1,231 as the base case, not the tail.

The defence of 26x. Sun keeps roughly 54% of combined EBITDA in a growing Indian and innovative franchise; leverage at 2.3x net (2.4x on gross acquisition debt) is a fraction of what Teva carried after Actavis; and an NSE-listed company is priced by domestic flows against domestic alternatives, not against Nasdaq generics. The honest range is 13x to 34x, and 26x is where we have put it — derived from the EBITDA mix on the Valuation sheet, not asserted. That single number carries the rating.

PRECEDENT — what other buyers have paid, and what happened after		
Transaction	EV/EBITDA paid	Note
Sun / Organon (Apr-2026)	6.2x	US\$11.75bn EV, all cash, \$14.00/sh, 24% premium; net debt/EBITDA guided 2.3x
Mankind / Bharat Serums & Vaccines	over 20x	Indian precedent — Sun paid roughly a third of this
Torrent / JB Chemicals	over 20x	Indian precedent
Teva / Actavis Generics (2016)	not sourced	US\$40.5bn debt-funded. We could not source the EV/EBITDA to a dated figure and do not quote one; revenue subsequently fell ~20% from the pre-deal peak.

The strongest bull point in this whole note, and we had underweighted it. By Indian precedent Sun bought cheaply — 6.2x against the 20x-plus paid in recent domestic deals. The bear reading of the same fact is that the multiple is low because the asset does not grow, and that Teva paid a comparable ~11x for Actavis and spent the following decade repairing the balance sheet. Both readings are honest; we lean to the second because Organon's revenue is already falling.